

**BEFORE THE ARBITRAL TRIBUNAL COMPRISING OF
THE SOLE ARBITRATOR SENIOR ADV. NITIN
SARDESSAI AT PANAJI - GOA**

IN THE MATTER OF:

VIKRAM SHAH

... Claimant

V/s.

RIVA TRINDADE & 3 Ors.

... Respondent

Appearances

Adv. K. Noorani present for the Claimant.

*Adv. S. Desai present with Adv. Jatin Ramaiya and Adv. Omkar Thakur
for Respondent No. 1, 2 & 3. Mr. Riva Trindade present.*

*Adv. E. Kotwal present via Video Conference with Adv. S. Kamat who was
present physically for Respondent No. 4. Mr. Sadarangani present via Video
Conference.*

ORDER DATED 1st May, 2026

1. This Order shall dispose of Application under Section 16 of the Arbitration & Conciliation Act, 1996 dated 14.03.2026 filed by the Respondent No.2 calling in question the arbitrability of the dispute

referred to this Tribunal and / or the jurisdiction of this Tribunal to decide the dispute referred to it by Order dated 07.08.2024 passed by the Hon'ble High Court of Bombay at Goa in Application for Appointment of Arbitrator No. 13 of 2024.

2. It is the case of the Respondent No.2 that the claim of the original Claimant is a claim *in rem* as the dispute requires determination of title, character, status and rights of the parties to the subject Property and as such is non-arbitrable by any forum other than a civil court of competent jurisdiction. It is also argued that the Respondent No.2 is not an heir of late Shri Pascoale Trinidade. That she being a moiety was not party to the Articles of Association dated 01.04.2013, and as such, Respondent No.2 cannot be bound by these arbitration proceedings.
3. The said Application has been replied to by the original Claimant by filing Reply dated 10.04.2026 and original Respondent no.4 *vide* Reply sworn on 08.04.2026.
4. It is the objection of the Respondent No.4 that there is gross delay sans any justification for the same in filing the Application under Section 16 and that a plea that the Arbitral Tribunal has no

jurisdiction has to be raised not later than submission of the statement of defence in terms of Section 16(2). It is further pleaded that the original Respondent No.2 i.e. the Applicant herein alongwith original Respondent Nos. 1 and 3 has acquiesced and consented to the jurisdiction of this Tribunal by participating in the proceedings before it including by filing an Application under Section 17. In short, they have pleaded waiver on the part of the Respondent No.2.

5. The oral arguments of all the parties concerned were heard on 10.04.2026. On the conclusion of the same, the Respondent No.2 desired to file written submissions. The Respondent No.4 also undertook to file written submission / synopsis thereafter. The same was granted by the Tribunal. However, by email dated 21.04.2026, the Respondent No.2 through their lawyer requested for further time to file the same. The written synopsis was ultimately filed on 23.04.2026. In view of the extension of time which was acceded to by this Tribunal, the time for written arguments in reply by the original Respondent No.4 was also extended. The same came to be filed on 28.04.2026. The original

Claimant had conveyed to the Tribunal that no written submissions would be filed on their behalf.

6. Oral arguments were heard on behalf of all the parties through their respective Counsel. Mr. Shivan Dessai on behalf of Respondent No.2 submitted that the claim raised is not arbitrable as it essentially requires this Tribunal to decide title of the parties to the suit property. Consequently, making it a declaration *in rem*. Mr. Dessai cited *Vidya Drolia v. Durga Trading Corporation* (2021) 2 SCC 1 ; *Vishram Prabat v. M/s. Shruti Builders & Ors* 1999 SCCOnline Bom 434 ; *Bharat Sanchar Nigam Ltd. & Anr. v. Motorola India Pvt. Ltd.*, (2009) 2 SCC 337 authorities to buttress the proposition that an arbitrator lacks jurisdiction to decide an issue *in rem*. Mr. Dessai also argued that the application filed under Section 16 is by the wife of late Shri Pascoale Trinidad and is a moiety. The Respondent No.2 not being a party nor a signatory to the arbitration agreement as found in Articles of Association dated 01.04.2013 ("AOA") is not bound by the arbitration, and in any case the terms of the said AOA are not binding on her. In the course of the oral arguments, a notice dated 28.02.2024 was produced on record to show the invocation of the arbitration. The said notice

was taken on record although it did not form part of the original record. The same was pursuant to No-Objection being given by the other parties.

7. Mr. Kotwal, appearing on behalf of the Respondent No.4, had considerable quarrel with the application under Section 16, and objected to the same being filed at a belated stage. He argued that there was no justification to file such an application at a very late stage, in the absence of non-arbitrability, having not been raised as an objection at the time the Statement of Defence was first presented. He laboured enough to demonstrate the conduct of the Respondent No.2 as also 1 and 3, in the course of these arbitration proceedings, and submitted that it was a clear case of waiver and acquiescence. In reply to the submission on the aspect of non-arbitrability of the dispute, he argued that the dispute does not call for a decision *in rem* as it is entirely between the parties to this arbitration. As far as objection regards non-binding nature of this arbitration on the Respondent No.2, he invited my attention to the arbitration clause to show that all disputes between the parties are arbitrable. He relied on *MSP Infrastructure Ltd. v. Madhya Pradesh Road Development Corporation Ltd. (2015) 13 SCC 713* ;

*Vidyavati Construction Co. v. Union of India (2025) 5 SCC 347 ;
Prasun Roy v. Calcutta Metropolitan Development Authority &
Anr. (1987) 4 SCC 217 ; Agri Gold Exims Ltd. v. Sri Lakshmi Knits
& Wovens & Ors. (2007) 3 SCC 686; Ajay Madusudan Patel v.
Jyotrindra S. Patel (2025) 2 SCC 147.*

8. Advocate Noorani, on behalf of the original Claimant, adopted the arguments of Advocate Kotwal, and further went on to add that the Respondent No.2 is in fact party to the Joint Venture Agreement dated 25.04.2014, and that she is a Power of Attorney of her husband, and jointly has 37.85% share in the Agreement of Partnership namely M/s. PVM Associates. He further submitted that the arbitration clause of the said agreement clearly binds the parties, and that the term Vendors mentioned in the said agreement shall also include the wife i.e. Respondent No.2.
9. I have considered the material on record and the eloquent submissions of the Counsel appearing for the respective parties. Dealing with the submissions of Mr. Kotwal that objections raised in Section 16 cannot be raised at a belated stage by the Respondent No.2 for not having raised at the time of presenting the defence.

This argument is being referred to only to be rejected. The Statement of Defence to the Statement of Claim was filed jointly by the Respondent Nos. 1, 2 and 3 dated 07.03.2025. The objection as regards non-arbitrability has been raised as a preliminary objection at Para B. It has to be borne in mind that the Tribunal persuaded the parties concerned to amicably settle the matter. It is pursuant to the request of this Tribunal that the Claimant engaged in settlement talks with Respondent Nos. 1, 2 and 3 and the Respondent No.4. The records further bare that the parties had made a sincere effort and required a number of sittings. The participation of the Respondent No.2 in these proceedings and the settlement talks cannot be considered adversely against them, and it will be unfair to treat the said participation as a waiver rendering them incapable of filing objections under Section 16. The Tribunal therefore rejects the objections as regards maintainability of objections under Section 16.

10. The next issue is as regards the Respondent No.2 not being a party to the AOA dated 01.04.2013 and as such not being bound by this arbitration.

11. It is noted that *vide* Application under Section 16, it is the case of the Respondent No.2 that she was married to late Pacoale Trinidad under the regime of communion of assets, and being a moiety holder was a co-holder of the subject-property, and that the rights, entitlement, title, interest of Respondent No.2 were never a subject-matter of the AOA. It has also been pleaded that being so, the interest, rights and title of the Respondent No.2 cannot be considered as the subject-matter of this arbitration. The Tribunal finds no merits in this argument. In terms of Section 15 of the Portuguese Commercial Code, the husband being the administrator of the property can deal with the co-ownership property i.e. even the portion belonging to the moiety for any business / commercial aspect if the transaction is for, on behalf and for the benefit of the family. In such an eventuality, the consent on behalf of the wife is deemed. Reference may be made to the judgment reported in the case of *Antoneta Cicilia Fernandes v. Rita Maria Fernandes & Ors*, 1996 (3) Bom.C.R 10.

- From the records before the Tribunal, it is clear that Respondent No.2 is a veritable party. Respondent No.2 coupled with Respondent Nos. 1 and 3 have filed a common

Statement of Defence. There is no plea raised by Respondent No.2 pleading ignorance of the arbitration agreement and / or AOA dated 01.04.2013. There is no plea that Respondent No.2 had objected to the signing of the AOA by the late Pascoale. Respondent No.2 has also not pleaded that the AOA in dispute is not a commercial transaction and / or the same was not for the benefit for the family of the late Pascoale. Further, it is clear that the Respondent No.2 is a party to Joint-Venture Agreement 25.04.2014, as also she is a power of attorney of her husband and jointly has 37.85% share in Messrs PVN Associates.

12. The Tribunal will finally deal with the argument as regards non-arbitrability as the dispute requires a decision *in rem*. It must be noted that a right *in rem* is a right which is exercised against the world at large, while a right *in personam* is an interest protected against certain specific individuals. If a dispute decides the rights of the parties to an agreement, it is a dispute that decides rights *in personam*. Merely, because of the fact that while deciding such a right *in personam*, the Tribunal has to dwell upon certain aspects

which border, by inference, on declaration *by rem* will not make the issue non-arbitrable.

- There can't be any quarrel with the proposition that generally it is not within the jurisdiction of an arbitrator to decide the rights *in rem*. This however, is not an inflexible rule. It is an equally established principle of law that subordinate rights *in personam* arising out of rights *in rem* are arbitrable. At this juncture it would be worth quoting from the judgment of ***Vidya Drolia (supra)***:

"48. A judgment in rem determines the status of a person or thing as distinct from the particular interest in it of a party to the litigation; and such a judgment is conclusive evidence for and against all persons whether parties, privies or strangers of the matter actually decided. Such a judgment "settles the destiny of the res itself" and binds all persons claiming an interest in the property inconsistent with the judgment even though pronounced in their absence. [G.C. Cheshire & P.M. North, Private International Law, 12th Edn. by North & Fawcett (Eds.) (London : Butterworths, 1992), p. 362.] By contrast, a judgment in personam, "although it may concern a res, merely determines the rights of the litigants inter se to the res". [G.C. Cheshire & P.M. North, Private International

Law, 12th Edn. by North & Fawcett (Eds.) (London : Butterworths, 1992), p. 362.] Distinction between judgments in rem and judgments in personam turns on their power as res judicata, [G.C. Cheshire & P.M. North, Private International Law, 12th Edn. by North & Fawcett (Eds.) (London : Butterworths, 1992).] i.e. judgment in rem would operate as res judicata against the world, and judgment in personam would operate as res judicata only against the parties in dispute. Use of expressions “rights in rem” and “rights in personam” may not be correct for determining non-arbitrability because of the interplay between rights in rem and rights in personam. Many a times, a right in rem results in an enforceable right in personam. Booz Allen & Hamilton Inc. [Booz Allen & Hamilton Inc. v. SBI Home Finance Ltd., (2011) 5 SCC 532 : (2011) 2 SCC (Civ) 781] refers to the statement by Mustill and Boyd that the subordinate rights in personam derived from rights in rem can be ruled upon by the arbitrators, which is apposite. Therefore, a claim for infringement of copyright against a particular person is arbitrable, though in some manner the arbitrator would examine the right to copyright, a right in rem. Arbitration by necessary implication excludes actions in rem.”

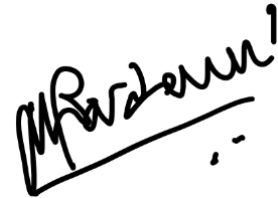
13. A look at the Statement of Claim clearly demonstrates that the Claimant is seeking compensation / damages towards certain

losses that has incurred by the Claimant. There is also a prayer for partition and valuing the property. Certain other incidental claims are also being made. It is to be noted that the entire claim before this Tribunal is based on a dispute that has arisen between the parties stemming out of AOA dated 01.04.2013. Clause 35, which is the arbitration clause in the said agreement, clearly demonstrates that any dispute between the members of the association or between the members and the legal heirs of the association or between legal heirs themselves are to be adjudicated by an arbitration.

14. To decide the dispute as raised by the Claimant, and consider the various prayers as prayed for in their Statement of Claim dated 22.01.2025 there is no necessity to decide the title as regards the subject-property. The AOA clearly states that it was a commercial transaction between the parties thereto and the capital that has been contributed by each of the parties. The AOA further makes it clear, the profit and loss ratio of the said parties. The claim as filed, is to make good the losses, caused by the Respondent Nos. 1, 2 and 3 by their conduct as pleaded by the Claimant, although one of the prayers asks for a partition. There is no prayer for declaration of

title. The Tribunal is of the firm opinion that the present dispute can be decided without even touching upon the title to the said property. As such, a decision to be given by this Tribunal will not be a decision *in rem*. It shall decide the rights of the parties *in personam*. And as such, the Application under Section 16 is dismissed.

15. The matter is now fixed for further proceedings on 13.06.2026 for arguments on the Application under Section 17 filed by the Claimant as also the Respondent Nos. 1, 2 and 3.



Place: Panaji – Goa

Date: 01.05.2026

Sr. Adv. Nitin Sardesai

Sole Arbitrator